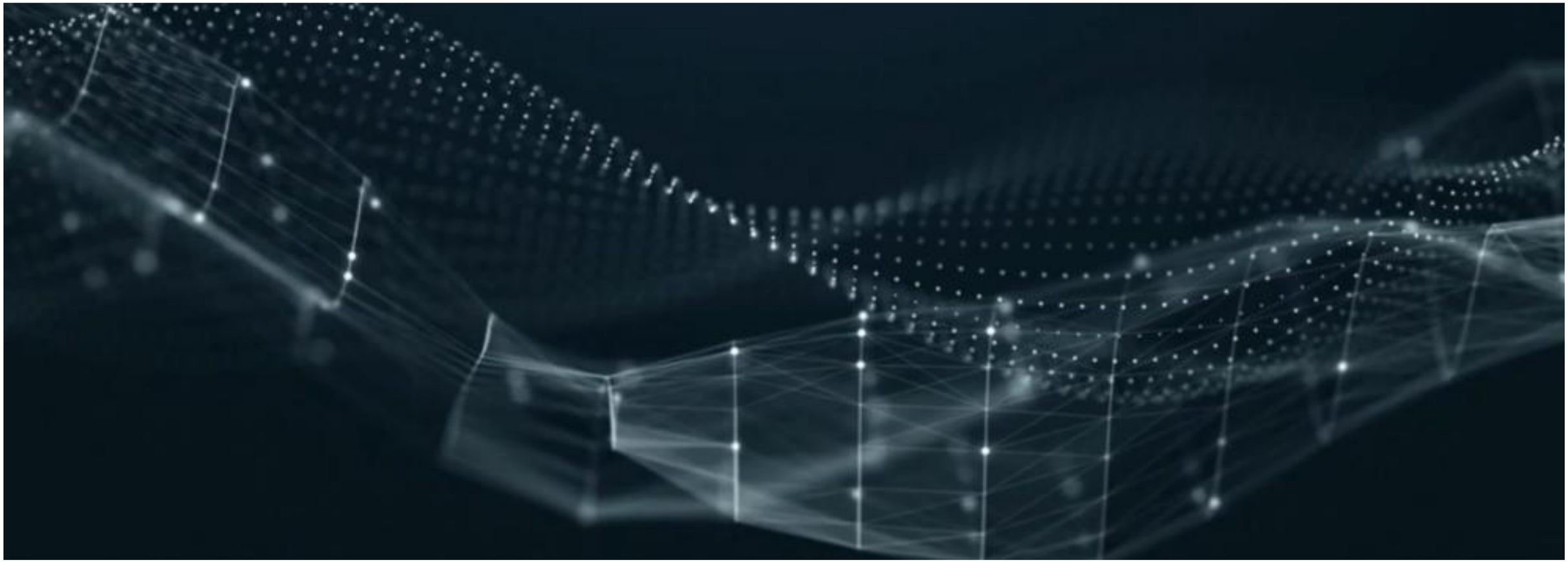
Power

North America Outlook | March 2026

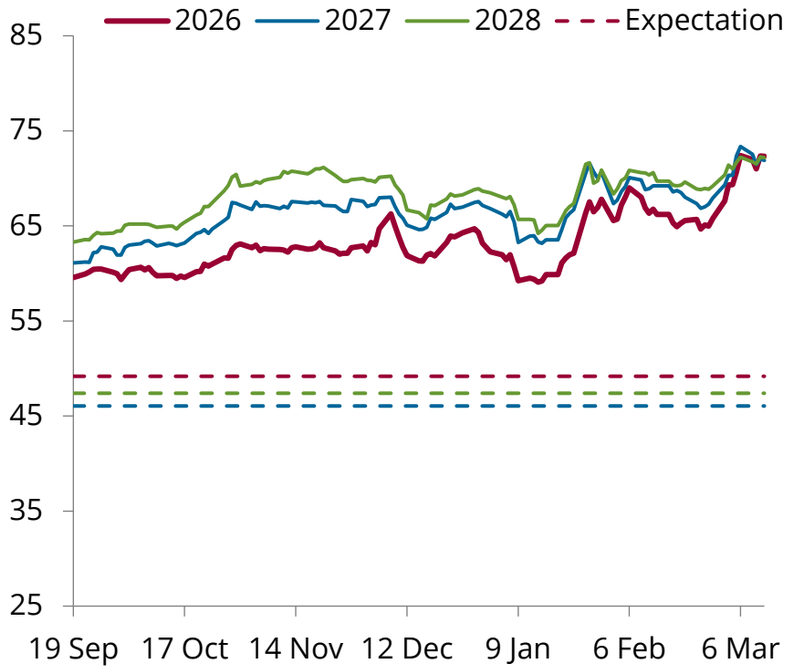
Known unknowns



Global coal price risk lifts PJM summer

PJM-W NQ on-peak spark spreads

$/MWh



Note: Spark is at 7 heat rate and off M3 gas; RGGI omitted
Source: ICE, Energy Aspects

PJM

- Eastern power market summer strips have risen on the war in the Middle East despite being physically separate from global gas prices. PJM-W NQ on-peak power forwards have risen by 7% since our last *Outlook*, but delivered gas prices are just 1% higher. Eastern coal prices are also slightly higher, but we think the market is worried that the war could tighten global coal balances with impact on PJM summer prices. Geopolitical risk has coincided with strong on-peak spark realisations, lending credibility to the summer rally. We have raised our NQ 26 PJM-W spark forecast to $49.18/MWh.
- Day-ahead on-peak PJM-W sparks have realised at $34.74/MWh (+$16.01/MWh y/y) over the last two weeks despite gas prices being $1.08/MMBtu lower y/y. We attribute this partly to higher load and increased congestion from transmission outages, but also to nuclear outages at two units critical to West Hub. Hope Creek and Calvert Cliffs were on outage through mid-March, exacerbating congestion patterns around BGE and Northern Dominion.

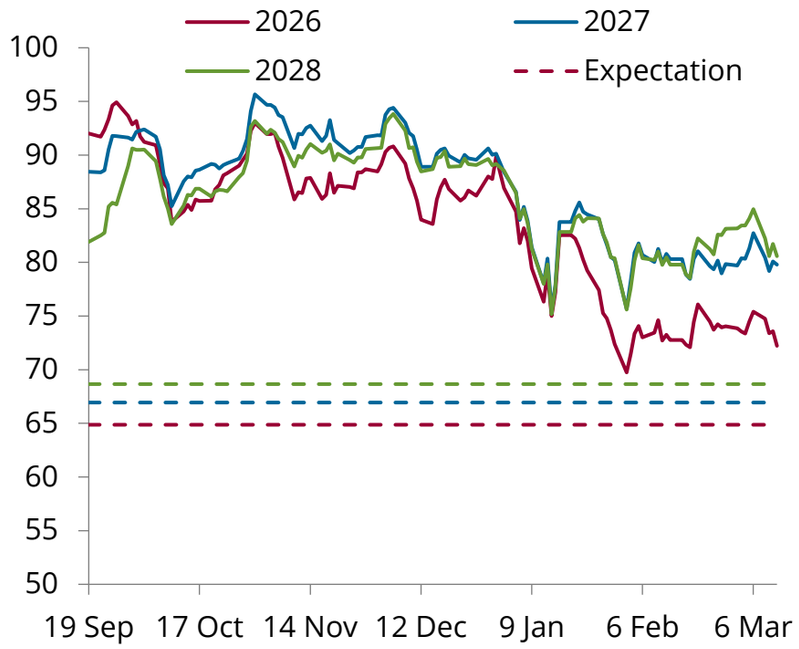
Northeast

- Path risk for Mass Hub prompt winter sparks is extremely high, given the uncertain duration of the war in the Middle East and considering the precedent of AGT and TTF winter prices reaching over $40/MMBtu and $100/MMBtu, respectively, after Russia invaded Ukraine in 2022.

ERCOT trades sideways, largely insulated from geopolitical rally

ERCOT-N NQ on-peak spark spreads

$/MWh



Note: Spark is at 7 heat rate and off HSC gas
Source: ICE, Energy Aspects

ERCOT

- ERCOT-N on-peak summer spark spreads found a floor near $72/MWh, trading sideways above our $65/MWh forecast, with downside limited by weather tail risk. Limited exposure to geopolitical risks should keep sentiment bearish absent significant spring action. Winter off-peak (7x8) fossil call and sparks realised above on-peak (5x16) for the first time.

- ERCOT weather-normalised load growth shows signs of softening QTD, but we maintain our expectation for summer growth of 3.1 GW y/y. We expect 2026 load growth to average near the 6% reached in 2025 despite uncertainty from large-load interconnection initiatives. Large-load approval rates are unlikely to rise above 2.1 GW per year until ERCOT completes its first new batch study in late 2027.

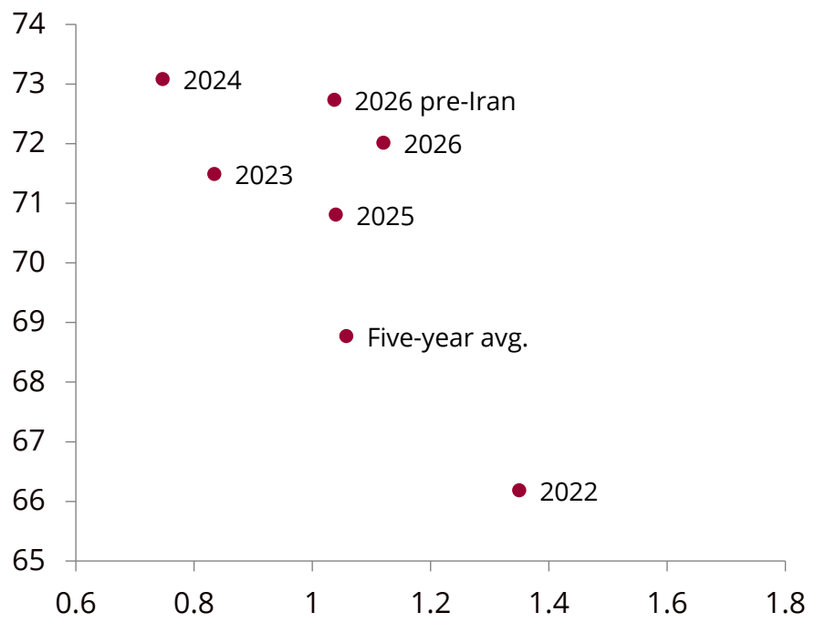
CAISO

- Deeply negative CAISO prices returned in late February. The 4.7 GW of batteries installed soaked up solar generation while capacity factors remained low, but have been overwhelmed as insolation rises. NP-15 congestion has not returned in the same way, as strong hydro and very low loads have kept NP-15 demand subdued. Sunzia flows have started again after a two-month hiatus, suggesting the giant wind farm is on track for a May commercial operation date.

Geopolitical risk premium for now only slightly reduces summer gas share

Lower 48 JV gas share vs gas/coal dispatch cost ratio

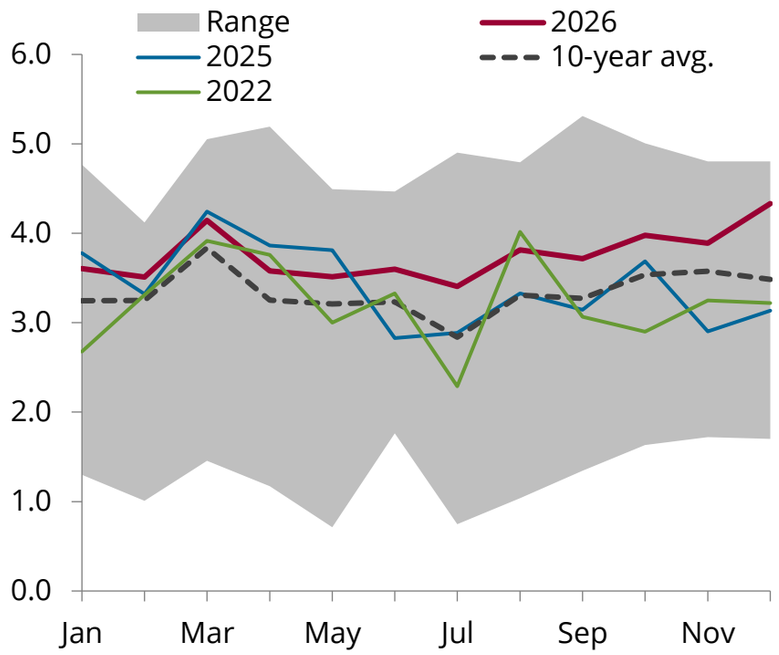
% (y-axis); ratio (x-axis)



JV 26 Henry Hub forwards have risen by 10% since the start of the Iran war, with only a slight rise in coal prices. A conflict lasting into April—not our base case—could push coal higher.

US thermal coal exports

Mt



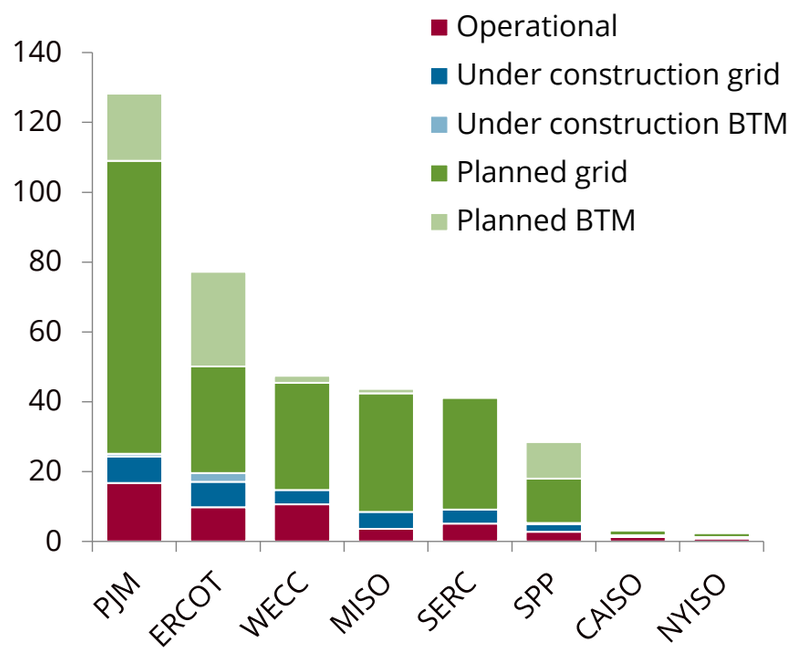
We forecast 45 Mt of thermal coal exports in 2026 (+5 Mt y/y), but our European Power team sees little upside to coal generation absent a long war, limiting the call on US tonnage.

Note: Dispatch costs assume simple average of NAPP, PRB coal prices at a 10 heat rate, assuming transport costs
Source: EIA, LSEG, Coaldesk, US Census Bureau Energy Aspects

We raised SPP, MISO, non-ISO load, maintain stagnant CAISO, ISONE, NYISO growth

Tracked data centre nameplate capacity

GW



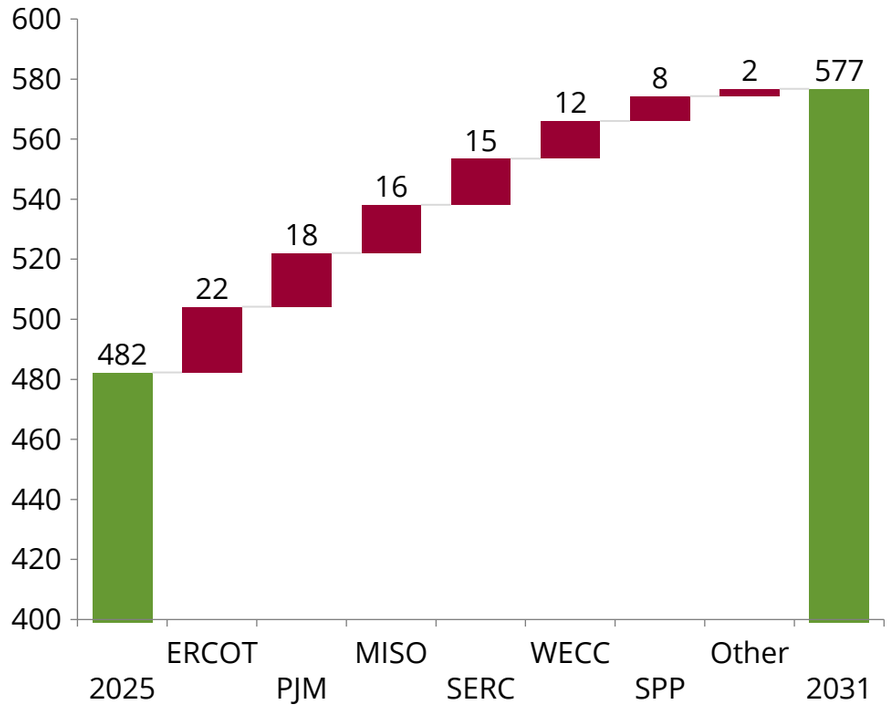
ERCOT and PJM continue to see a massive backlog of data centre interest, but regulatory headwinds and capacity constraints have pushed development activity elsewhere.

Note: Excludes data centres with behind-the-meter generation

Source: Baxtel, Energy Aspects

Lower 48 weather-normalised load growth

GW

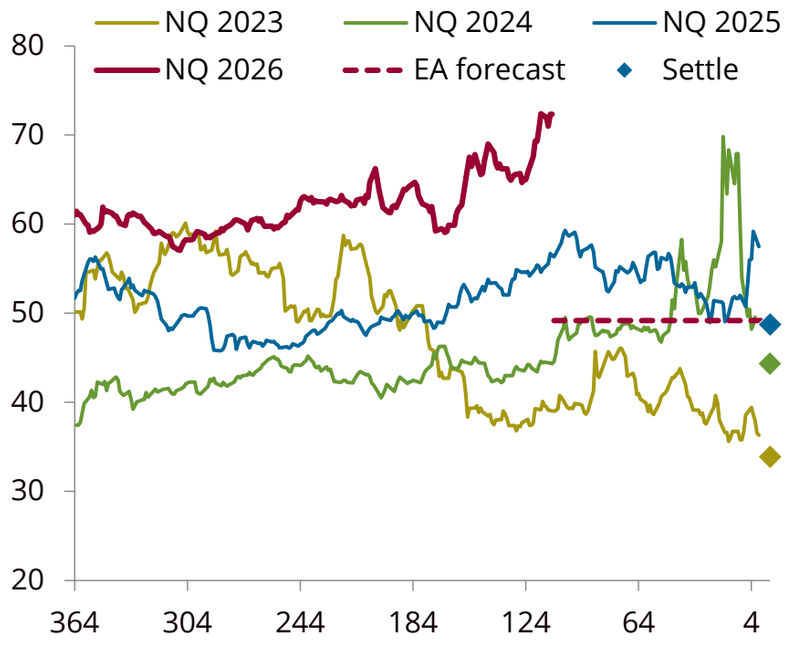


ERCOT and PJM still lead Lower 48 load growth through 2031, but MISO, SERC, WECC and SPP take a larger share. Other regions are stagnant, but data centre activity is growing.

PJM summer sparks outrun gas prices on war jitters

PJM-W NQ on-peak spark spreads to expiry

$/MWh (y-axis); days to first contract expiry (x-axis)



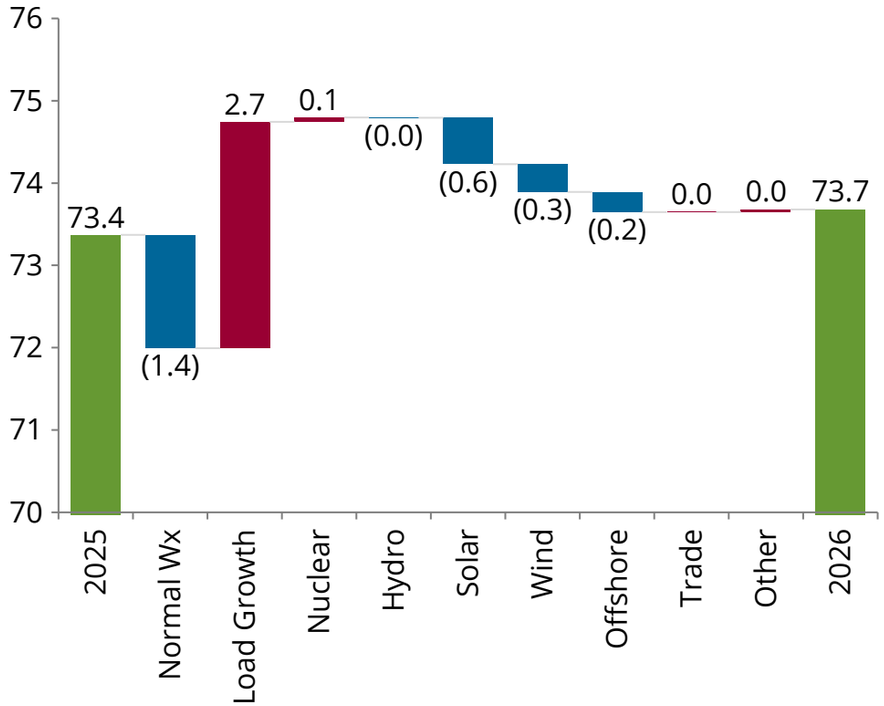
We raised our peak-summer spark forecast to $49.18/MWh on a higher model load expectation for this summer, rising coal price risk and congestion adding premium to West Hub.

Note: Spark is at 7 heat rate and off M3 gas; no RGGI prices in PJM sparks

Source: ICE, PJM, EIA, Energy Aspects

PJM NQ average fossil call

GW

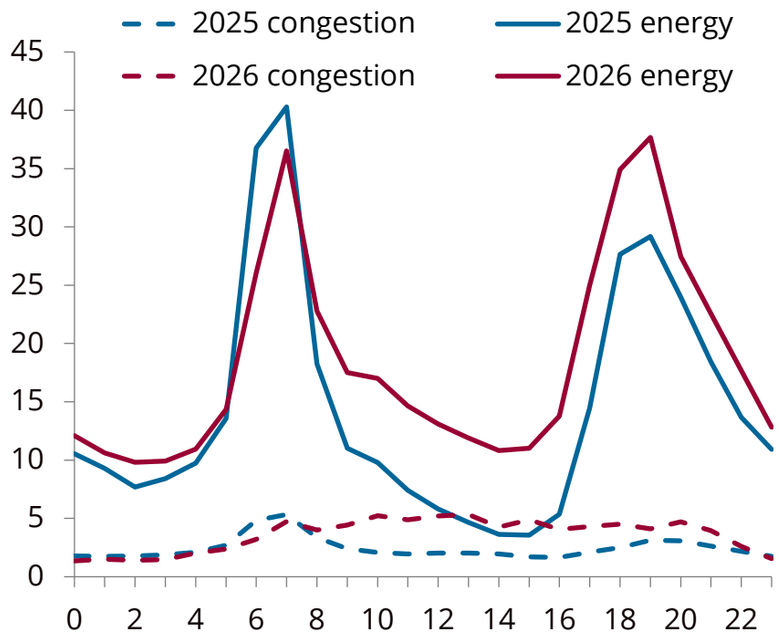


A recalibration of our weather-normal model raised our view of peak-summer fossil call from 73.2 GW to 73.7 GW, making our weather-normal view higher than last years realisation.

PJM realised energy and congestion components rise y/y

PJM-W spark spread components 27 Feb–12 Mar y/y

$/MWh (y-axis); hour of day (x-axis)

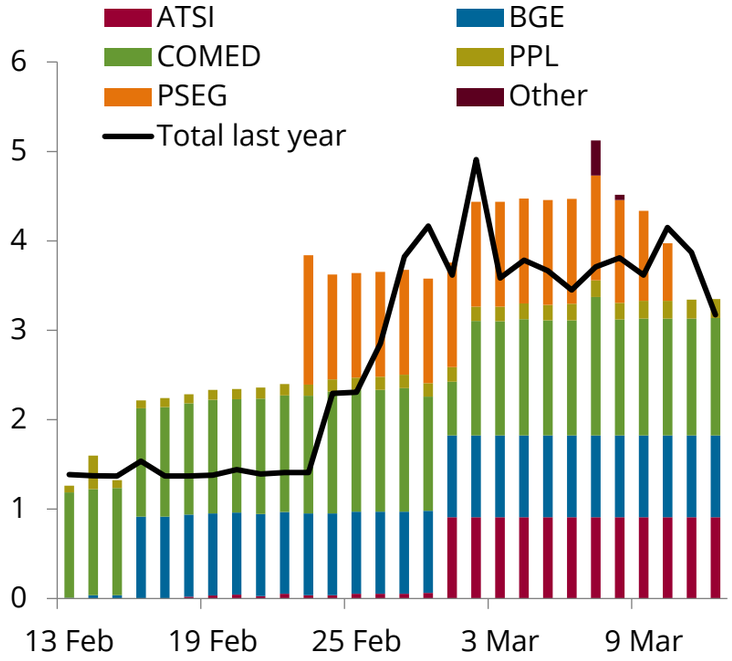


Load has been 0.6 GW higher y/y over the last 14 days and renewables and nukes 1.1 GW and 0.5 GW lower respectively, lifting PJM-W despite gas being down by $1.08/MMBtu y/y.

Note: Spark spread calculated at 7 heat rate.
Source: PJM, ICE, NRC, Energy Aspects

PJM nuclear outages

GW

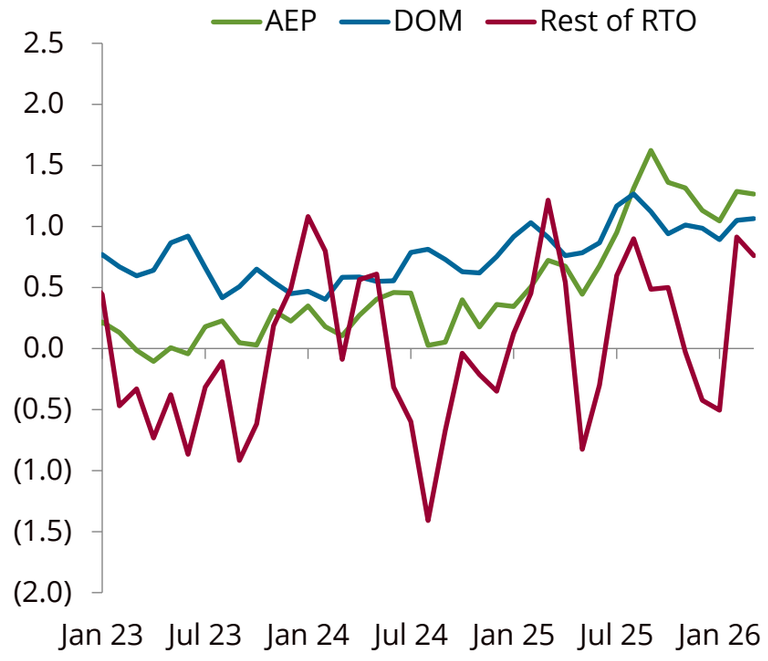


PJM nuclear outages have come in higher y/y since the end of Winter Storm Fern, supporting the energy component of LMPs, particularly on Hope Creek and Calvert Cliffs outages.

PJM load growth still dominated by AEP and Dominion zones

Zonal weather-normalised load growth, y/y

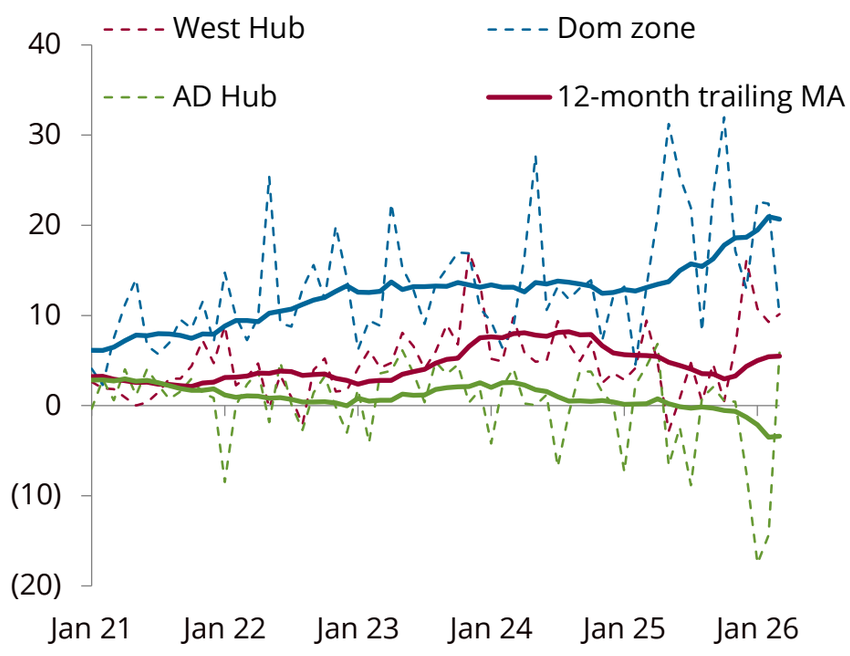
GW



AEP and Dominion zones continue to drive PJM load growth, but ComEd and APS show early signs of growth. We are tracking 0.6 GW of hyperscale data centres planned for Q1 26.

Congestion component as percent of ATC LMP

%



Data centre load is raising Dominion zone congestion, while leaving West and AD Hub largely unchanged. CVOW commissioning could flatten the Dominion trend from Q3 26.

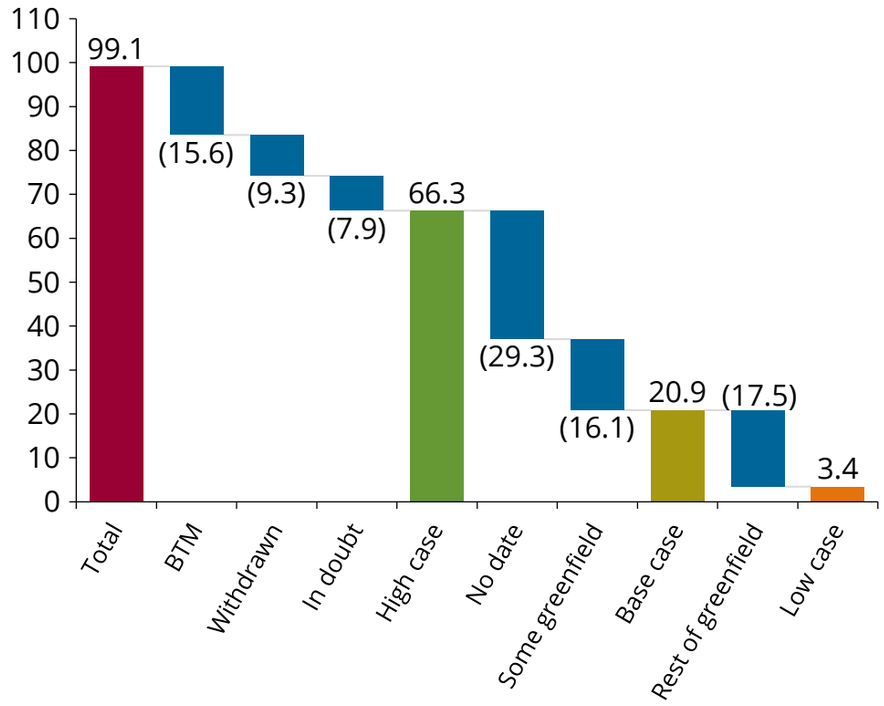
Note: CVOW is Coastal Virginia Offshore Wind

Source: Pharos, Spire, PJM, Baxtel, Energy Aspects

Our PJM load forecast remains weighted towards the lower end of possible scenarios

Planned data centre nameplate capacity, PJM

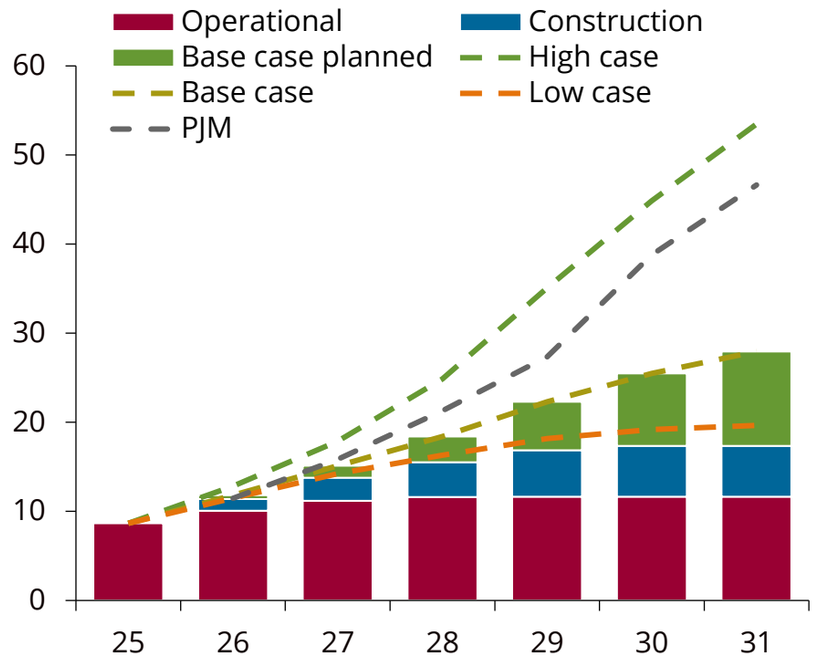
GW



Excluding withdrawn and doubtful projects, we track 66.3 GW of nameplate capacity (net of BTM). Our base case removes no-date projects and discounts greenfield project survival to 25%.

Modelled PJM data centre demand

GW



Holding operational and construction forecasts constant, our high-planned case aligns with PJM's outlook, while our low-planned case assumes just active sites reach completion.

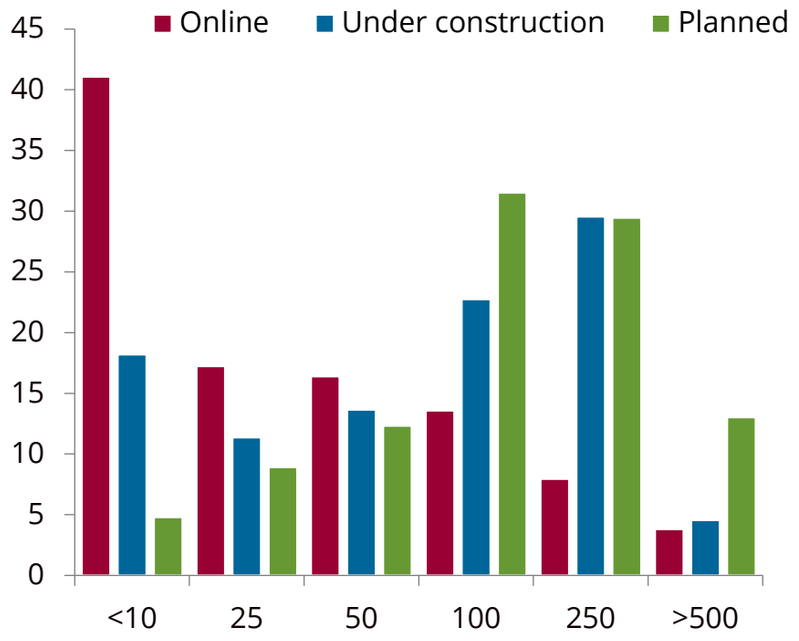
Note: BTM stands for behind-the-meter generation

Source: PJM, Baxtel, Energy Aspects

BTM data centres progress as PJM outlines co-location transmission framework

Share of PJM data centres by status, size

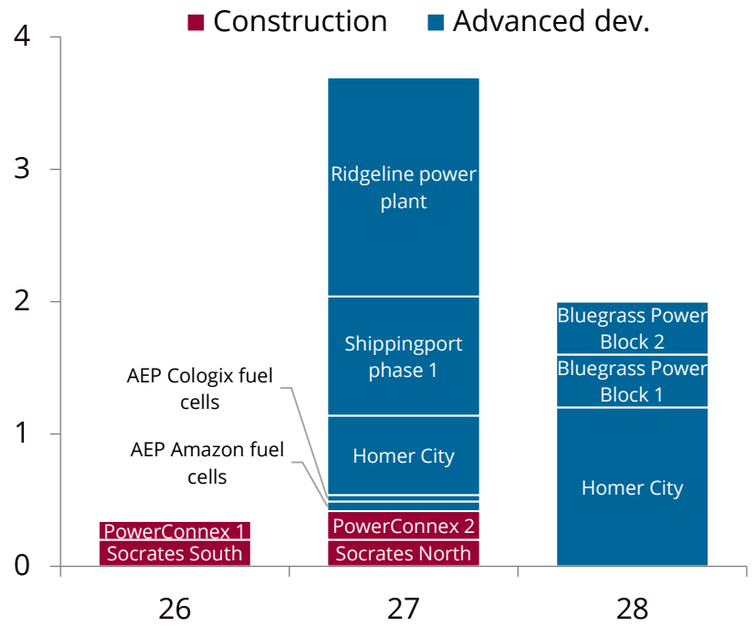
% (y-axis), GW (x-axis)



PJM's proposed co-location solution would force generators larger than 50 MW through the queue. Fully islanded projects would avoid that obligation but forgo benefits of grid service.

PJM BTM generation projects by announced online date

GW



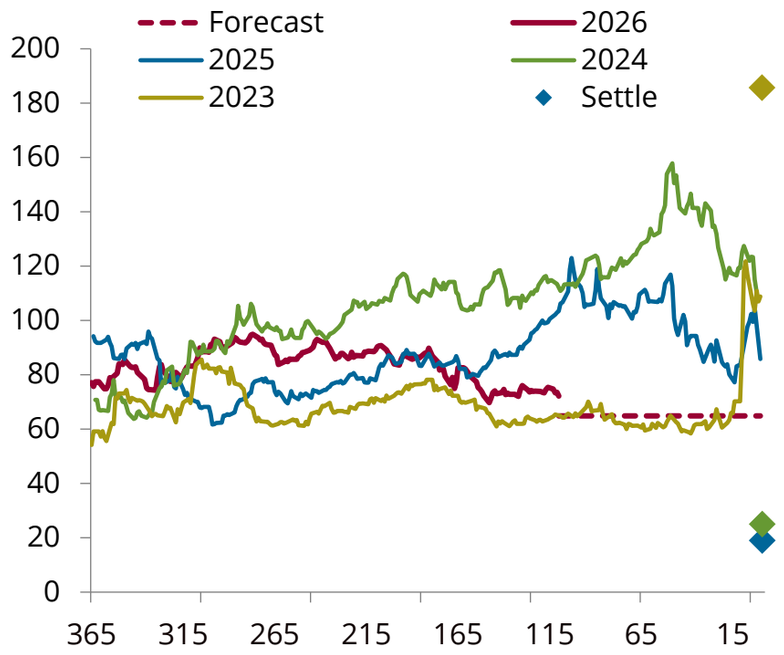
We track 758 MW of under-construction BTM power plants in the PJM footprint. AEP fuel cells, Homer City and Bluegrass Power are likely to start construction this year.

Note: BTM projects exclude those in early development.
Source: Baxtel, PJM, Energy Aspects

ERCOT on-peak summer sparks have found a floor above our forecast

ERCOT-N NQ on-peak spark spreads to expiry

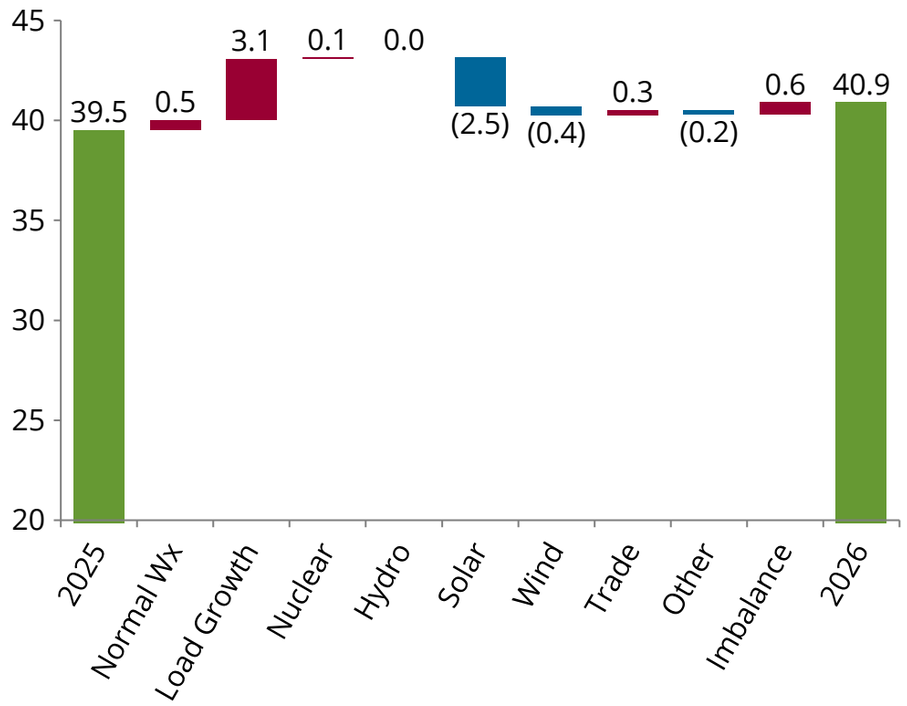
$/MWh (y-axis); days to first contract expiry (x-axis)



ERCOT summer spark spreads have traded sideways with low volatility, just above our forecast. Limited geopolitical exposure should keep sentiment bearish absent significant spring action.

ERCOT NQ average fossil call

GW



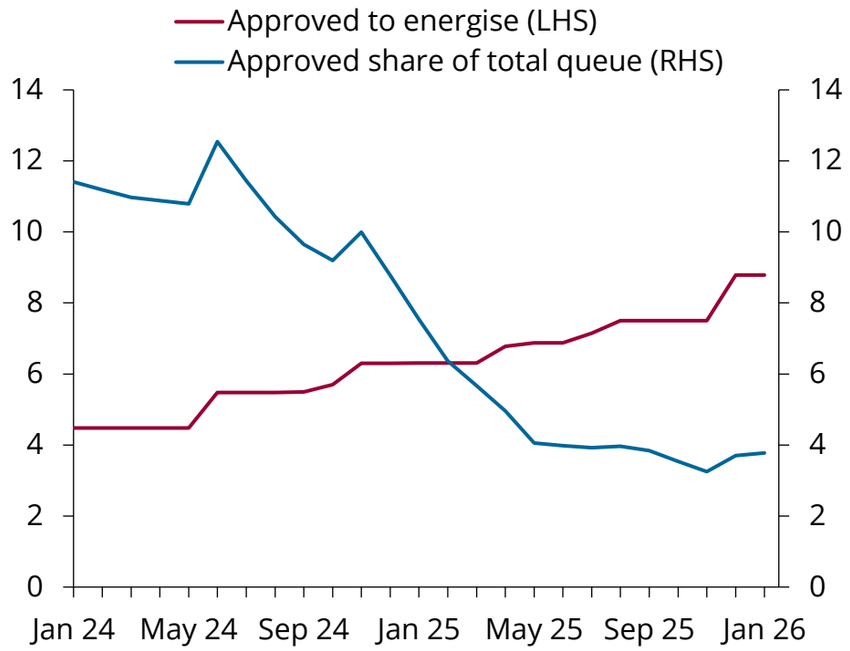
Our model shows load growth softening QTD, but we maintain our summer forecast for now. ERCOT remains on track to add 6.7 GW of both battery and solar capacity y/y by summer.

Note: Sparks at 7 heat rate and using HSC gas
Source: ICE, ERCOT, Energy Aspects

ERCOT large-load interconnection process uncertainty will limit approvals into 2027

ERCOT-reported large-load approvals

GW (LHS), % (RHS)



Note: Our weather-normal load growth number excludes battery charging
Source: ERCOT, Energy Aspects

We expect ERCOT's 2026 weather-normalised load growth will realise near the 6% reached in 2025 as large load approval rates remain near 2.1 GW per year.

LLIS process implemented December 2025 will be replaced by batch process

- ERCOT finalised its Large Load Interconnection Study (LLIS) process, but reports this approach faces significant delays due to frequent restudies.
- ERCOT is designing a periodic evaluation of large load batches, but hurdles mean we expect the first "batch 0" study's approval in late 2027.

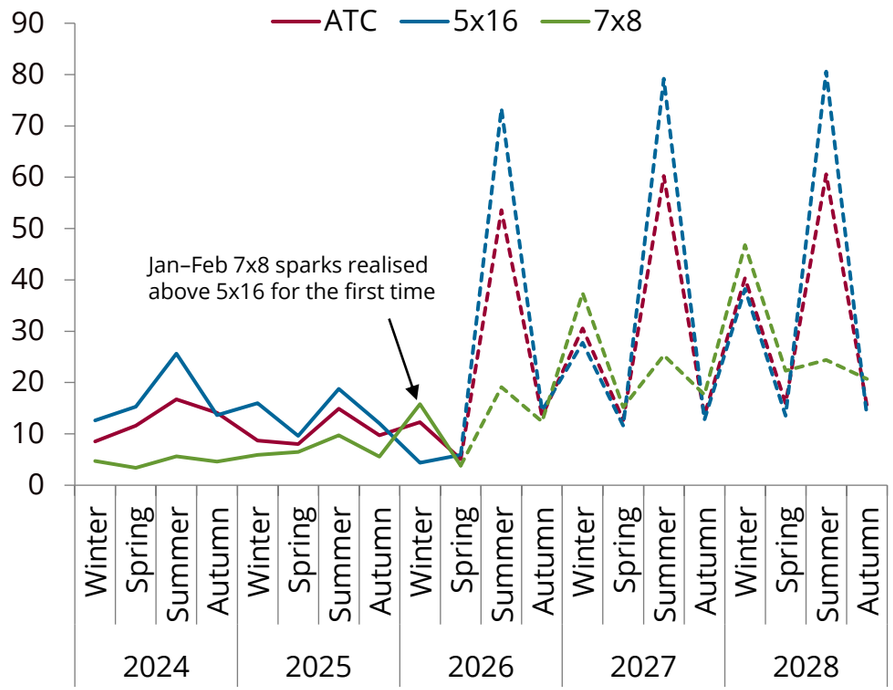
ERCOT must conform to Texas Senate Bill 6 laws

- ERCOT must follow the development of state-mandated large load interconnection standards. The Public Utility Commission of Texas (PUCT) established stricter criteria for large load inclusion in ERCOT's forecasts.
- Proposed rules would allow the PUCT to approve net metering arrangements with existing resources on a case-by-case basis, but ERCOT would be able to call on generation capacity up to prior levels under emergency conditions.
- ERCOT received feedback on, but delayed timelines for, evaluating a large load demand response product and transmission cost recovery.

ERCOT 7x8 sparks gain over 5x16, particularly in winter–spring, due to rising fossil call

ERCOT-N real-time sparks settlement, futures

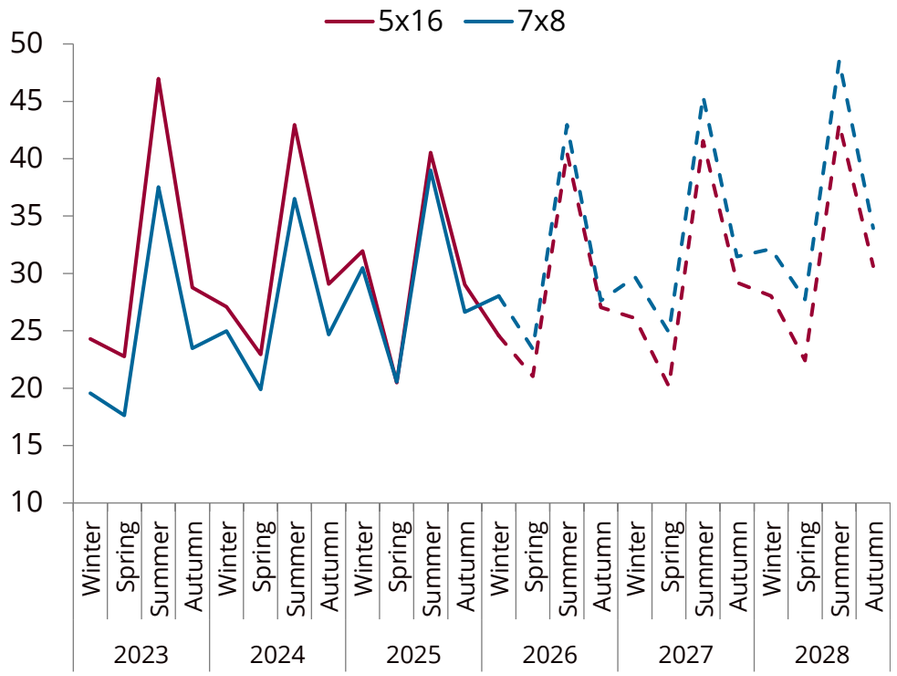
$/MWh



The market's three-month retreat has left winter–spring 7x8 sparks at a premium to 5x16, directionally in line with our view, though we think ATC prices through 2027 remain overvalued.

ERCOT average call on fossil generation

GW



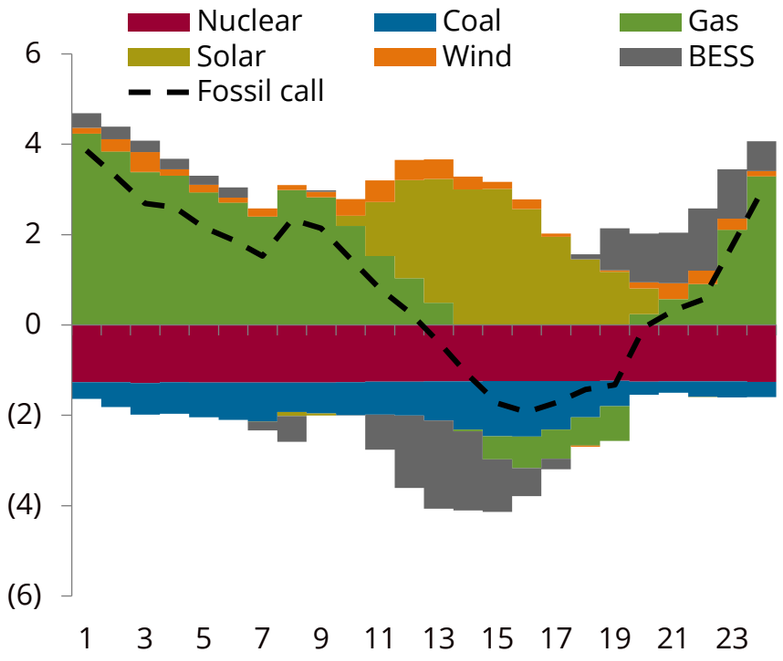
Average fossil call in overnight hours surpassed on-peak for the first time this season. This gap will widen into 2028 until our renewable build expectation slows, load growth strengthens.

Note: Sparks at 7 heat rate and using HSC gas; winter is Jan-Feb, spring is Mar-Apr, summer is Jul-Aug, autumn is Oct-Nov
Source: ICE, Pharos, ERCOT, Energy Aspects

ERCOT spring gas generation will rise y/y; batteries insufficient to absorb renewables

ERCOT March–April hourly fuel mix, y/y changes

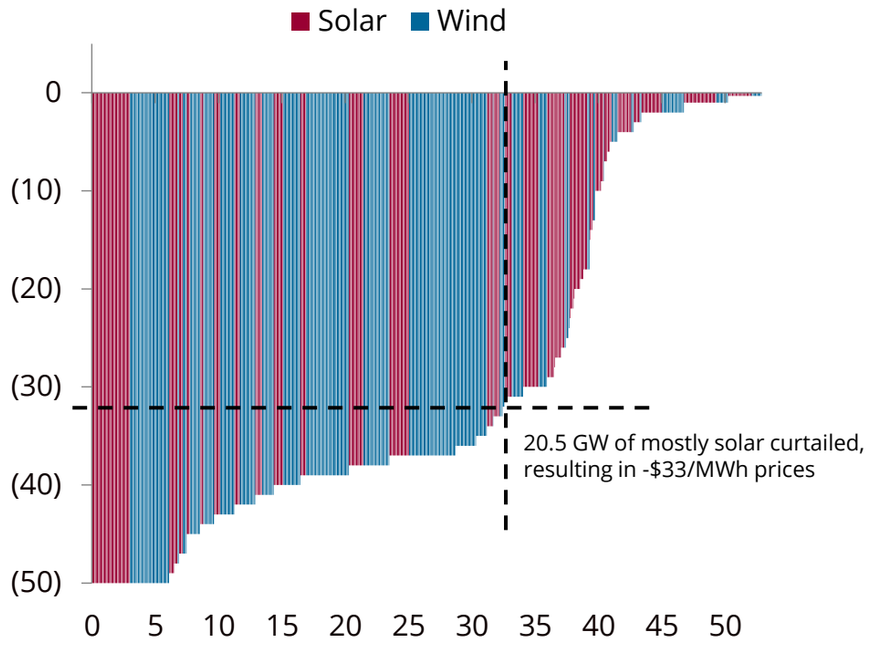
GW (y-axis), hour ending (x-axis)



Load growth will raise overnight spring fossil call by 2.7 GW, while solar and batteries keep on-peak flat. Higher nuclear outages and lower gas prices will raise gas share of thermal call.

ERCOT renewable energy offer stack, 24 February 16:00

$/MWh (y-axis), GW (x-axis)



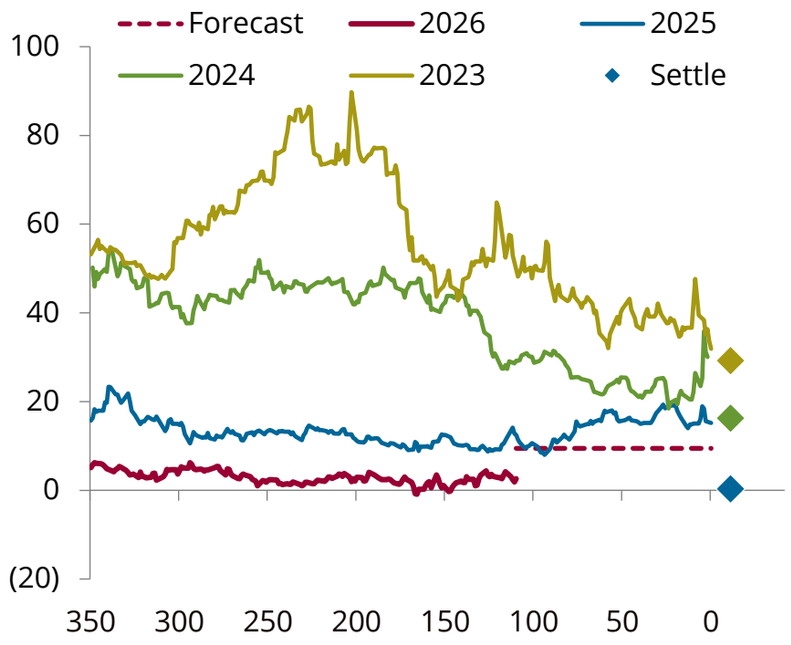
Despite rising to 1.8 hours, ERCOT's battery fleet duration is still insufficient to relieve curtailment. We expect prices will plummet below -$5/MWh when curtailment exceeds 10 GW.

Source: ERCOT, Pharos, Energy Aspects

CAISO summer sparks move sideways as negative SP-15 congestion returns

CAISO SP-15 NQ on-peak clean spark spreads to expiry

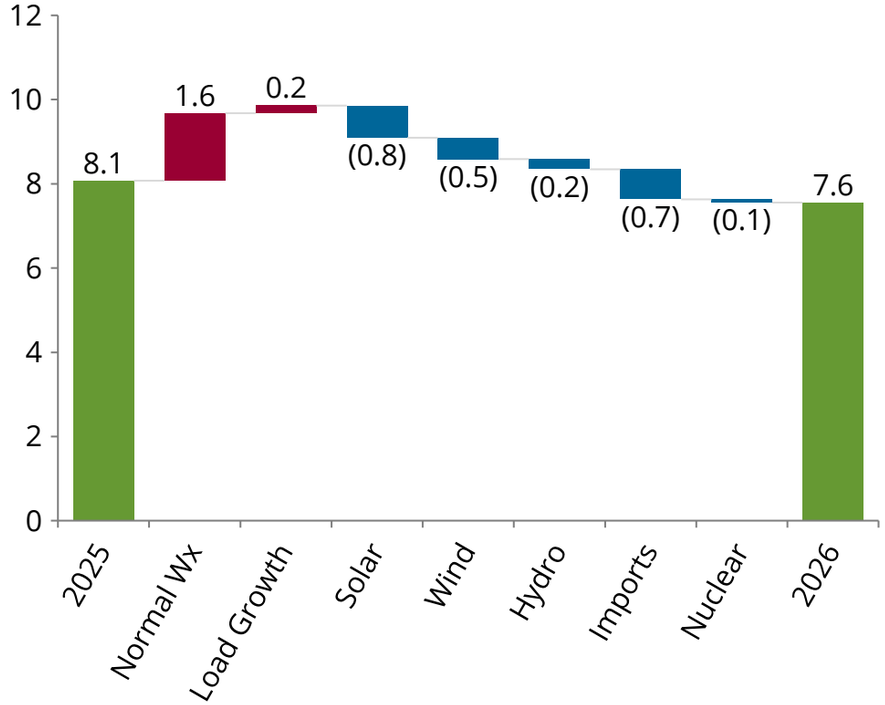
$/MWh (y-axis); days to first contract expiry (x-axis)



SP-15 summer sparks moved sideways despite a return of deeply negative congestion from mid-February. Sunzia flows restarted on 6 March as turbine installations completed.

CAISO NQ average fossil call

GW



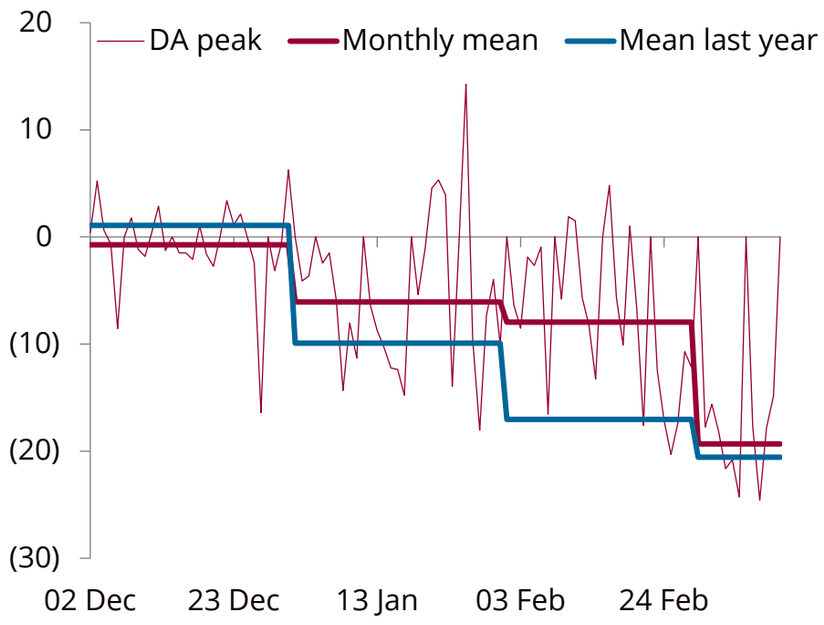
Our NQ thermal call is unchanged this outlook. Warm weather has meant precipitation is falling as rain at lower altitudes, but snowpack is strong in Canada and at higher elevations.

Source: ICE, CAISO, EIA, Energy Aspects

CAISO renewable curtailment returns and SP-15 realisations fall

SP-15 DA on-peak clean spark spread realisations

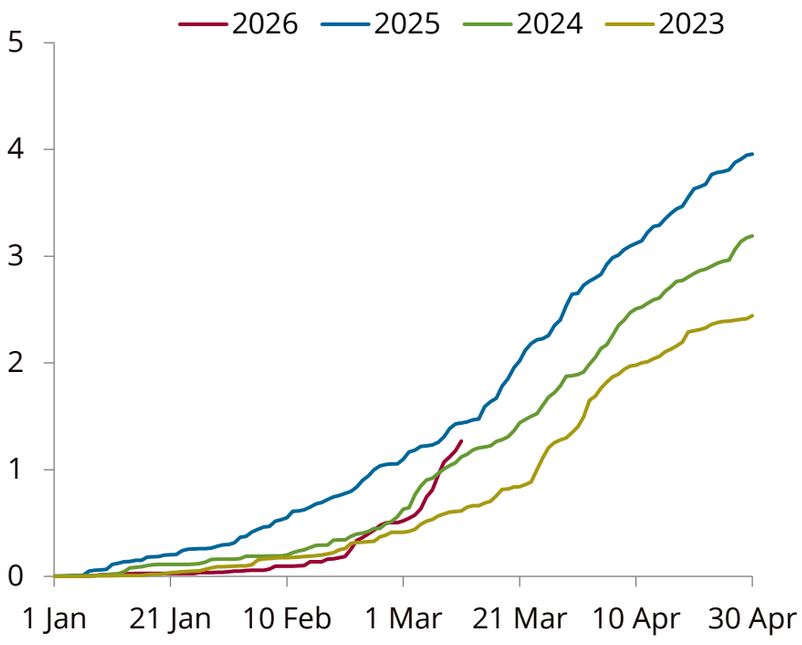
$/MWh



Deeply negative sparks at SP-15 returned from mid-February as renewable share rose with solar and high hydro. Congestion, however, remained well below 2025 levels.

CAISO cumulative renewable curtailment

TWh



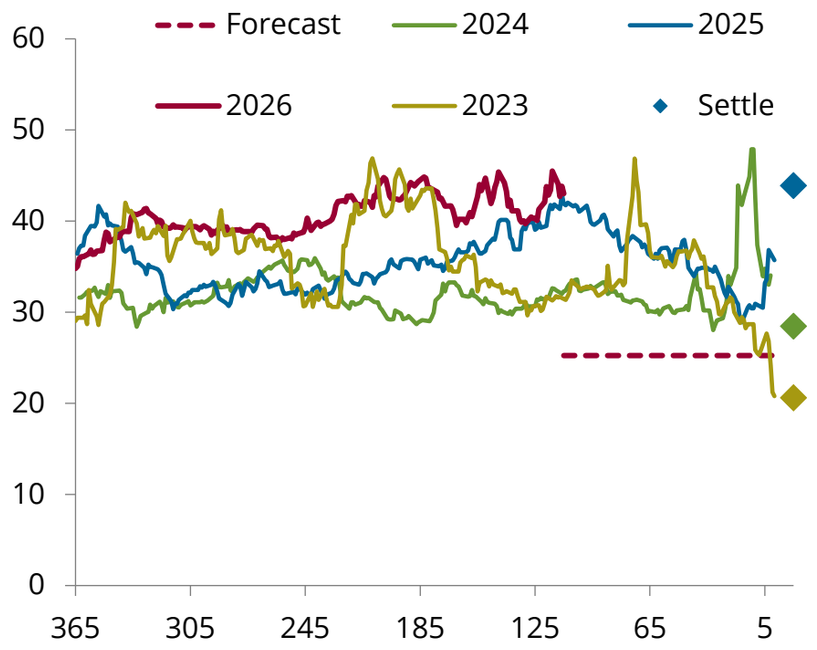
CAISO added 4.4 GW of BESS versus 1.7 GW of solar in 2025, allowing batteries to ease curtailment. But low load and high hydro and imports overwhelmed this from mid-February.

Source: CAISO, ICE, Energy Aspects

ISONE summer should be insulated from geopolitics, but winter risk high

Mass Hub NQ on-peak clean spark spreads to expiry

$/MWh (y-axis); days to first contract expiry (x-axis)



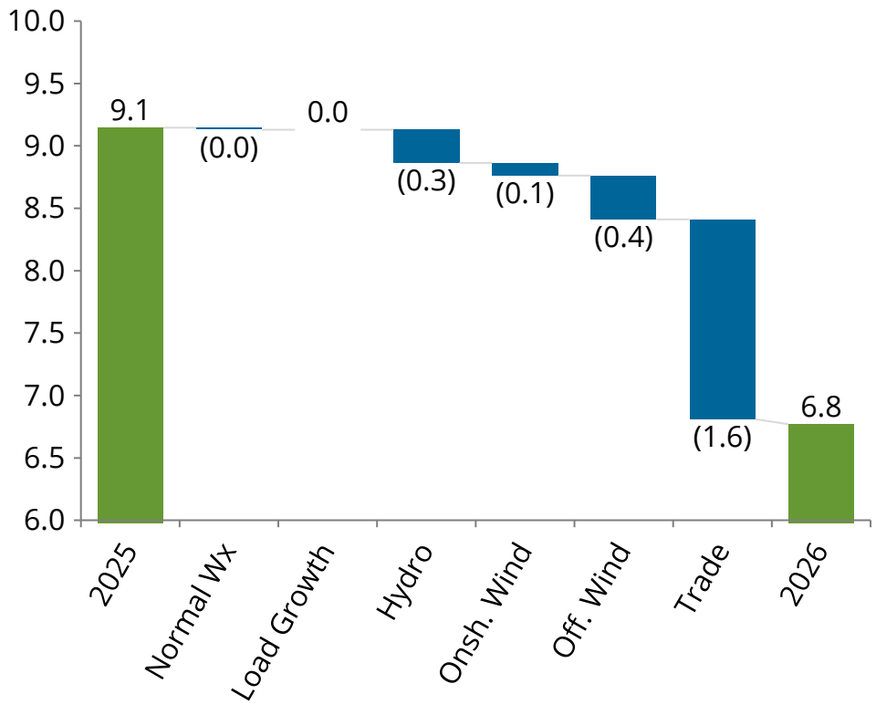
HQ has delivered 1.1 GW on NECEC as expected, while Vineyard Wind approaches construction completion and Revolution nears commissioning flows.

Note: Mass Hub sparks use AGT gas calculated at 7 HR

Source: ICE, ISONE, Energy Aspects

ISONE NQ average fossil call

GW

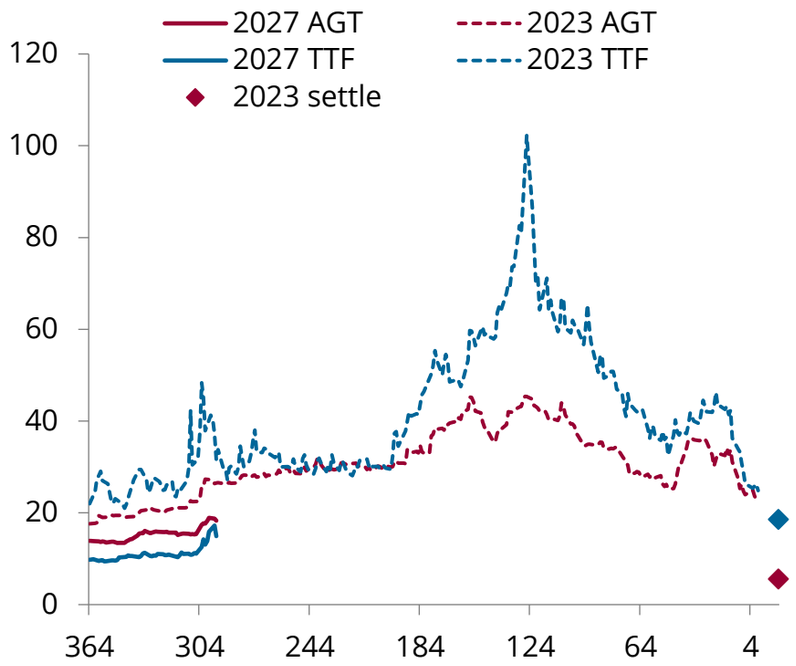


Despite a much lower fossil call this summer, Mass Hub NQ peak sparks remain around the $44/MWh realised last summer. We think that is $18/MWh too high.

Prompt winter path risk extremely high for ISONE fuels and power if war persists

ISONE winter fuel FG strips

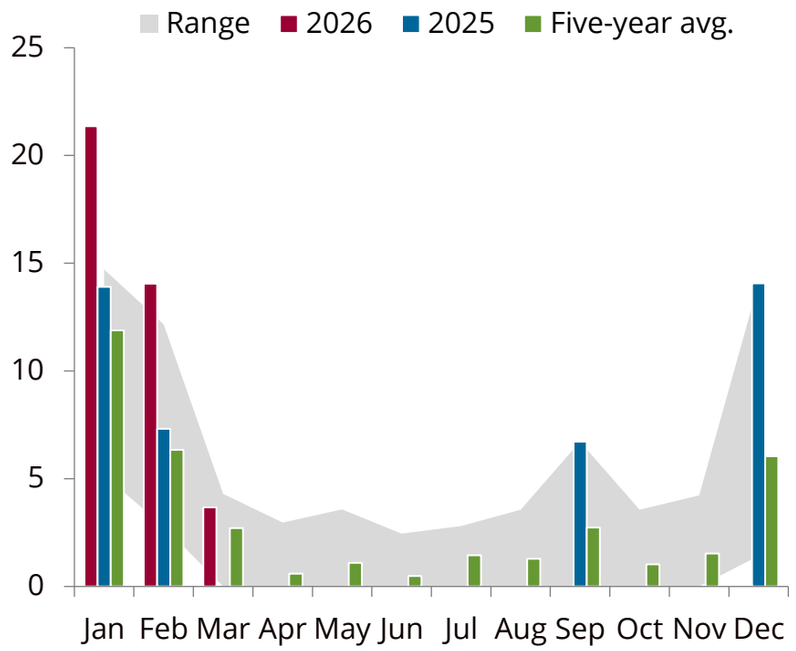
$/MWh (y-axis); days to first contract expiry (x-axis)



There is significant upside risk in AGT and TTF prompt winter forwards, especially given our current view that the Iran conflict will extend into April, restricting Qatari LNG exports.

New England LNG facility imports

bcf



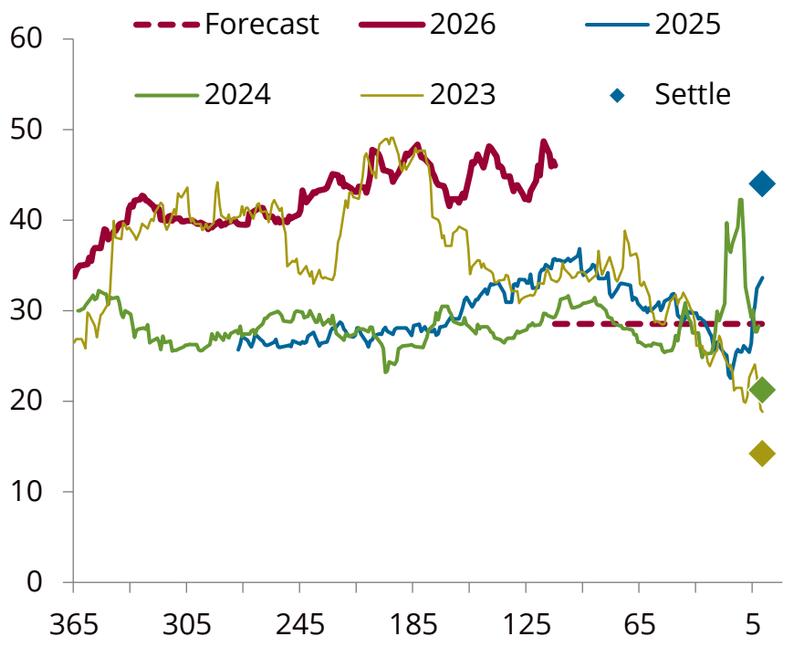
Northeast LNG facilities will likely forgo replenishing inventories through summer as the region does not face the same gas capacity constraints as in winter.

Source: ICE, Bloomberg, Energy Aspects

CHPE COD expected 1 June, HQ's deferred ICAP market participation confirmed

NYISO-G NQ on-peak clean spark spreads to expiry

$/MWh (y-axis); days to first contract expiry (x-axis)



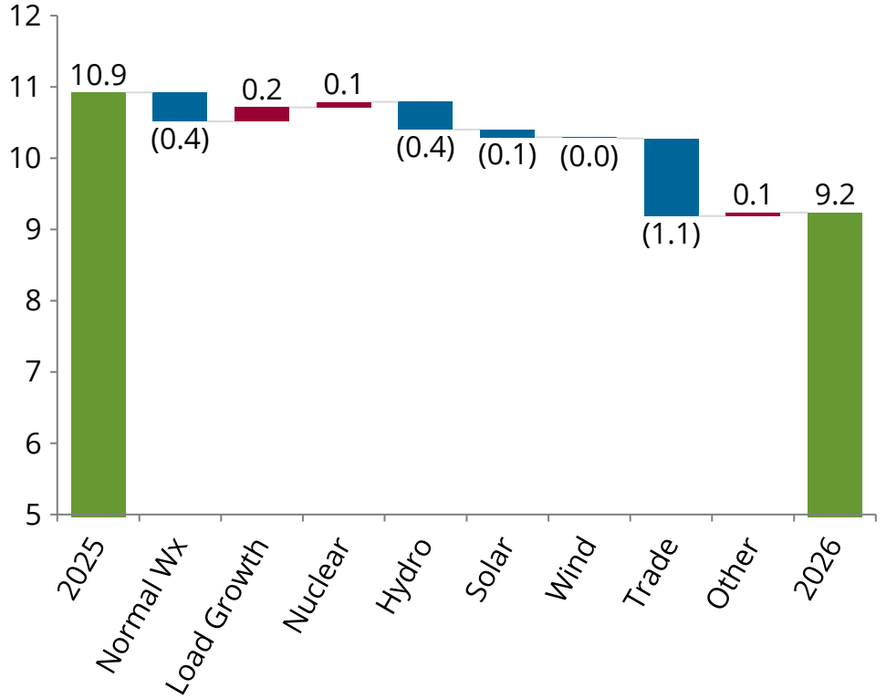
We include CHPE's start-up in our balances as of June 2026, supporting our expectation the line will flow at 1.2 GW ATC over peak summer.

Note: Mass Hub sparks use IZ2 gas calculated at 7 HR

Source: ICE, NYISO, Energy Aspects

NYISO NQ average fossil call

GW

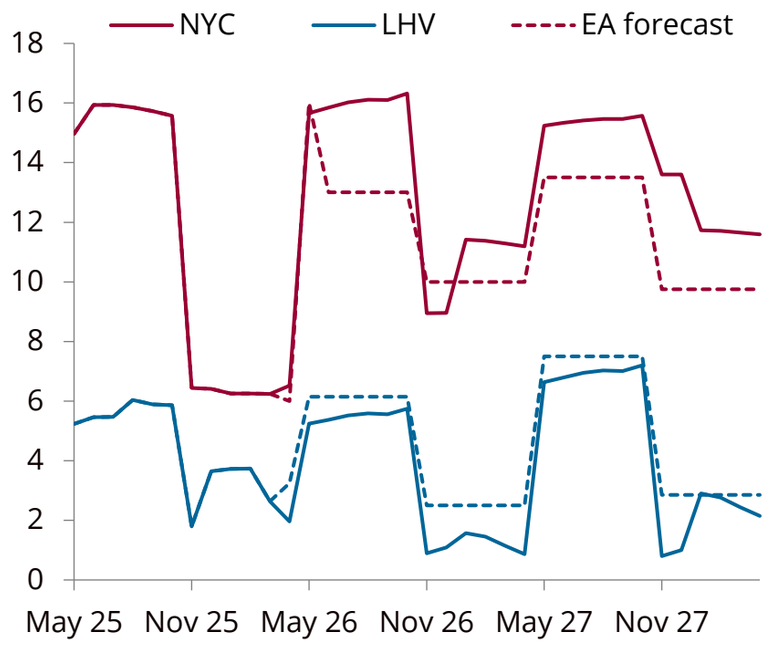


With NECEC and CHPE in service, we expect HQ will import close to full utilisation on Chateauguay, and net flows to ISONE will approach zero, leaving NYISO 1.1 GW longer y/y.

CHPE ICAP market participation is bearish NYC prices from June

NYISO ICAP market forwards

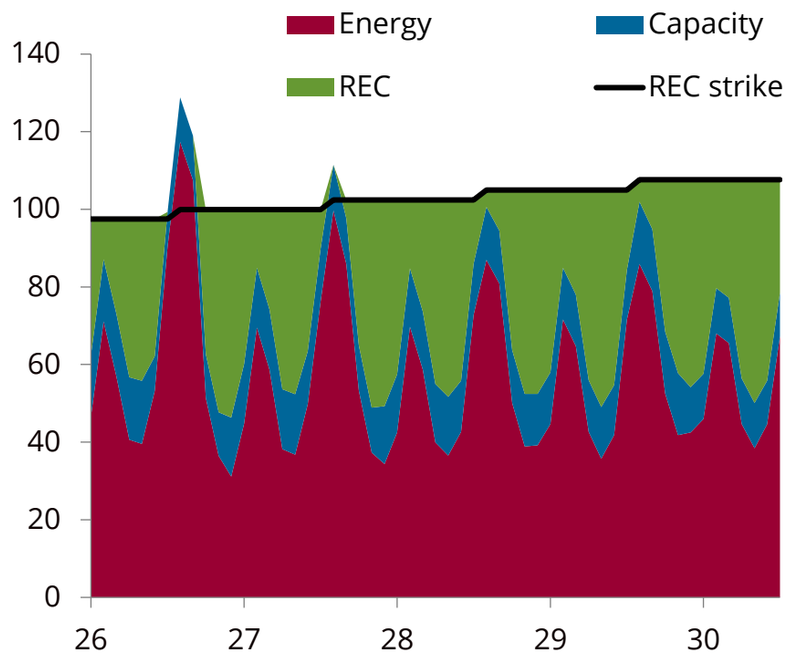
$/kW-m



CHPE ICAP market participation will bring 1.2 GW of incremental supply to NYC in summers starting in June, but the line will also raise LCRs, offsetting supply gains.

CHPE revenue stack

$/kW-m



HQ has strong incentives to satisfy CHPE's REC obligations, namely a harsh penalty if, over the life of the line, HQ deliveries fall short. ICAP market incentives are more modest.

Source: NYISO, ICE, NYSERDA, Energy Aspects

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